Q4 Fiscal 2025 Earnings Commentary
March 17, 2026

The financial measures discussed below include both GAAP and adjusted non-GAAP financial measures. Please see the section captioned "Reconciliation of Non-GAAP Financial Measures" included in the accompanying financial tables, which includes more detail on the GAAP financial measures that are most directly comparable to the non-GAAP financial measures, and the related reconciliation between these financial measures.

This earnings commentary should be read in conjunction with our Annual Report on Form 10-K filed with the Securities and Exchange Commission ("SEC") on, or about, March 17, 2026. These reports are available at www.sec.gov.

The below narrative compares the fourth quarter of fiscal 2025 to the fourth quarter of fiscal 2024, unless otherwise noted.

Sales

- **Total net revenue** increased 1%, or was flat on a constant dollar basis. Excluding net revenue from the 53rd week of 2024, net revenue increased 6%, or 4% on a constant dollar basis. Total revenue was $3.6 billion in both Q4 2025 and Q4 2024. Global comparable sales increased 3%, or 2% on a constant dollar basis. The increase in net revenue was primarily due to increased China Mainland and Rest of World net revenue, partially offset by decreased Americas net revenue.

- **Americas net revenue** decreased 4%, or 5% on a constant dollar basis. Excluding net revenue from the 53rd week of 2024, Americas net revenue was flat. Comparable sales decreased 1%, or 2% on a constant dollar basis. Americas net revenue was $2.7 billion, or 74% of total net revenue, compared to $2.8 billion, or 77% of total net revenue, in Q4 2024.

- **China Mainland net revenue** increased 24%, or 21% on a constant dollar basis. Excluding net revenue from the 53rd week of 2024, China Mainland net revenue increased 32%, or 28% on a constant dollar basis. Comparable sales increased 30%, or 26% on a constant dollar basis. China Mainland net revenue was $528.4 million, or 15% of total revenue, compared to $425.0 million, or 12% of total net revenue, in Q4 2024.

- **Rest of World net revenue** increased 10%, or 6% on a constant dollar basis. Excluding net revenue from the 53rd week of 2024, Rest of World net revenue increased 16%, or 12% on a constant dollar basis. Comparable sales increased 9%, or 5% on a constant dollar basis. Rest of World net revenue was $431.5 million, or 12% of total net revenue, compared to $392.4 million, or 11% of total net revenue, in Q4 2024.

Store Count

- **New company-operated stores**: We opened seven net new stores in China Mainland, six net new stores in the Americas, and two new stores in Rest of World in Q4 2025.

- **Total company-operated stores**: At the end of Q4 2025, we had 811 total company-operated stores compared to 767 at the end of Q4 2024.

Gross Profit

- **Gross profit** was $2.0 billion, or 54.9% of net revenue compared to $2.2 billion, or 60.4% of net revenue, in Q4 2024. Gross margin decreased 550 basis points compared to Q4 2024. The decrease in gross margin was primarily the result of a net decrease in product margin of 520 basis points, comprised of:
  - a net decrease of 560 basis points primarily from higher tariffs as well as increased markdowns and new credit card affiliate programs, partially offset by higher pricing and lower product costs; and
  - a favorable impact of foreign currency exchange rates of 40 basis points.

  The decrease in gross margin was also due to a net increase in fixed costs as a percentage of net revenue of 30 basis points, driven by higher occupancy costs.

Selling, General and Administrative Expenses

- **SG&A expenses** were $1.2 billion, or 32.5% of net revenue, compared to $1.1 billion, or 31.5% of net revenue, in Q4 2024. The deleverage of 100 basis points was driven by the negative impact from foreign exchange translation and revaluation, fixed cost deleverage, and ongoing investments to build brand awareness. This was partially offset by ongoing initiatives to prudently manage costs across the company.

Operating Income

- **Operating income** was $812.3 million, or 22.3% of net revenue, compared to $1.0 billion, or 28.9% of net revenue, in Q4 2024.

Other Income (Expense), Net

- **Other income (expense), net** decreased $14.4 million to $1.0 million from $15.4 million in Q4 2024 primarily due to equity investment write-offs and a decrease in interest income as a result of lower average cash balances and lower interest rates.

Income Tax Expense

- **Income tax expense** was $226.4 million compared to $309.1 million in Q4 2024 and the effective tax rate was 27.8% compared to 29.2% in Q4 2024.

Net Income

- **Net income** was $586.9 million, or $5.01 per diluted share, compared to $6.14 per diluted share in Q4 2024.

Share Count

- Our diluted share count for the quarter was 117.2 million compared to 121.9 million in Q4 2024.
- In Q4 2025, we repurchased 1.4 million of our shares for a cost of $269.1 million.

Capital Expenditures

- **Capital expenditures** were $183.2 million in Q4 2025 compared to $235.0 million in Q4 2024. The Q4 2025 capital expenditures primarily relate to investments that support business growth including our multi-year distribution center project, store capital for new locations, relocations, and renovations, and technology investments.

Balance Sheet Highlights

- **Cash and cash equivalents** were $1.8 billion at the end of Q4 2025 and the available capacity under our committed revolving credit facility was $593.6 million.

- **Inventories** increased 18% to $1.7 billion at the end of Q4 2025 compared to $1.4 billion at the end of Q4 2024. On a unit basis, inventories increased 6%.

Forward-Looking Statements and Non-GAAP Reconciliations

Forward-Looking Statements:

This supplemental disclosure includes estimates, projections, statements relating to our business plans, objectives, and expected operating results that are "forward-looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995, Section 27A of the Securities Act of 1933 and Section 21E of the Securities Exchange Act of 1934. In many cases, you can identify forward-looking statements by terms such as "may," "will," "should," "expects," "plans," "anticipates," "outlook," "believes," "intends," "estimates," "predicts," "potential" or the negative of these terms or other comparable terminology. These forward-looking statements also include our guidance and outlook statements. These statements are based on management's current expectations but they involve a number of risks and uncertainties. Actual results and the timing of events could differ materially from those anticipated in the forward-looking statements as a result of risks and uncertainties, which include, without limitation: our ability to maintain our brand value and reputation; our highly competitive market and increasing competition; our ability to anticipate consumer preferences and successfully develop and introduce new, innovative and differentiated products; the acceptability of our products to guests; increasing costs and decreasing selling prices; our ability to accurately forecast guest demand for our products; our ability to expand in light of our limited operating experience and limited brand recognition in new international markets and new product categories; our ability to attract, manage, and retain highly qualified individuals; our ability to manage our growth and the increased complexity of our business effectively; changes in consumer shopping preferences and shifts in distribution channels; our leasing of retail and distribution space; seasonality; changes to U.S. tariff and customs policy, including the elimination of the de minimis exemption; macroeconomic volatility, inflationary pressures, and shifts in consumer sentiment; global political and economic instability, including geopolitical conflicts and political polarization; trade restrictions, tariffs, and customs changes; changes in tax laws, transfer pricing, or unanticipated tax liabilities; our ability to comply with trade and other regulations; fluctuations in foreign currency exchange rates; global or regional public health crises; disruptions of our supply chain; our reliance on a relatively small number of vendors to supply and manufacture a significant portion of our products; suppliers or manufacturers not complying with our Vendor Code of Ethics or applicable laws; fluctuating costs of raw materials and the cost of producing our products; our ability to deliver our products to the market and to meet guest expectations if we have problems with our distribution system; our ability to safeguard against security breaches with respect to our technology systems; our compliance with privacy and data protection laws; any material disruption of our technology systems; our ability to have technology-based systems for our e-commerce business function effectively; imitation by our competitors; our ability to protect our intellectual property rights; conflicting trademarks and patents and the prevention of sale of certain products; actions of stockholders, activists, or shifting consumer sentiment; our exposure to various types of litigation; climate change and related pressures; heightened scrutiny and legal risks from competing pressures regarding ESG; and other risks and uncertainties set out in filings made from time to time with the United States Securities and Exchange Commission and available at www.sec.gov, including, without limitation, our most recent reports on Form 10-K and Form 10-Q. You are urged to consider these factors carefully in evaluating the forward-looking statements contained herein and are cautioned not to place undue reliance on such forward-looking statements, which are qualified in their entirety by these cautionary statements. The forward-looking statements made herein speak only as of the date of this disclosure and we undertake no obligation to publicly update such forward-looking statements to reflect subsequent events or circumstances, except as may be required by law.

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Reconciliation of Non-GAAP Financial Measures

Unaudited

Constant dollar changes

The below changes show the change compared to the corresponding period in the prior year. Due to the 53rd week in 2024, the below changes in comparable sales are calculated on a one-week shifted basis such that the 13 weeks ended February 1, 2026 are compared to the 13 weeks ended February 2, 2025 rather than January 26, 2025.

	Fourth Quarter 2025		
Net Revenue	**Change**	**Foreign exchange**	**Change in constant dollars**
United States	(6)%	— %	(6)%
Canada	1	(2)	(1)
Americas	(4)	(1)	(5)
China Mainland	24	(3)	21
Rest of World	10	(4)	6
Total international	17	(3)	14
Total	1 %	(1)%	— %

	Fourth Quarter 2025		
Comparable Sales[1]	**Change**	**Foreign exchange**	**Change in constant dollars**
Americas	(1)%	(1)%	(2)%
China Mainland	30	(4)	26
Rest of World	9	(4)	5
Total international	20	(4)	16
Total	3 %	(1)%	2 %

(1) Comparable sales includes comparable company-operated store and e-commerce net revenue. Comparable company-operated stores have been open for at least 12 full fiscal months, or open for at least 12 full fiscal months after being significantly expanded. Comparable company-operated stores exclude stores which have been temporarily relocated for renovations or have been temporarily closed.

Net revenue change excluding the 53rd week

Our fiscal year ends on the Sunday closest to January 31st of the following year, typically resulting in a 52-week year, but occasionally giving rise to an additional week, resulting in a 53-week year. Fiscal 2025 was a 52-week year while 2024 was a 53-week year. Fiscal 2026 will be a 52-week year.

The below changes show the change for 2025 compared to the corresponding period in 2024 by geographic area and channel, including in constant dollars.

	Fourth Quarter 2025				
	Change	Impact of 53rd week	Change excluding the 53rd week (non-GAAP)	Foreign Exchange	Constant dollar change excluding the 53rd week (non-GAAP)
United States	(6)%	5 %	(1)%	— %	(1)%
Canada	1	4	5	(2)	3
Americas	(4)	4	—	—	—
China Mainland	24	8	32	(4)	28
Rest of World	10	6	16	(4)	12
Total international	17	7	24	(4)	20
Total	1 %	5 %	6 %	(2)%	4 %
Company-operated stores	(5)%	5 %	— %	(1)%	(1)%
E-commerce	5 %	4 %	9 %	(1)%	8 %

The below changes show the change for 2025 compared to the corresponding period in 2024 by category.

	Fourth Quarter 2025		
	Change	Impact of 53rd week	Change excluding the 53rd week (non-GAAP)
Women's product	2 %	5 %	7 %
Men's product	(2)	5	3
Accessories and other categories	—	4	4
Total	1 %	5 %	6 %